The Commodities Feed: Oil rallies on Persian Gulf disruptions

Oil prices opened stronger this morning following US and Israeli strikes on Iran over the weekend. There are significant supply risks facing the global oil and LNG market

Energy- Persian Gulf supply risks

Unsurprisingly, oil markets opened significantly stronger this morning, with ICE Brent trading as much as 13% higher initially --- trading above US$82/bbl. This took the market into the range we had expected following this weekend's developments. Perhaps more surprising is that the market has given back some of these gains, trading just 6% higher at the time of writing. There's still hope that an off-ramp from escalation can be found amid reports that Iran's security chief is pushing for a resumption of nuclear talks with the US.

However, there's still plenty of uncertainty about how the situation in the Middle East develops. Iranian retaliation and targeting of neighbouring Gulf states are only seeing energy supply risks grow -- and leaving the door open for further escalation.

A big concern is the disruption to oil and LNG flows through the Strait of Hormuz. Reports indicate that several ships have been attacked, leaving many shippers reluctant to navigate the strait due to the risks. Clearly, if these disruptions persist, it will leave further upside to prices.

In oil markets, we're also seeing strength in the middle distillates this morning. The ICE gasoil crack has surged above US$30/bbl from around US$27/bbl on Friday amid concerns over refined product

flows from the Persian Gulf. The region exports roughly 6m b/d of refined products. However, this isn't the only concern for refined products. If crude oil flows from the Persian Gulf are disrupted for extended periods, refiners in other regions could have to reduce their run rates, further tightening product markets.

For gas markets, the real impact will be on European and Asian LNG prices. Around 20% of global LNG supply is at risk, leaving plenty of upside for European gas prices. As we near the end of the European heating season, gas storage is below 30% full. This leaves the market tight. Given the potential for disruptions from the Persian Gulf, we could see increased competition between Europe and Asia for alternative supplies. While there's been a ramp-up in LNG export capacity and more to come, particularly from the US, this would not come soon enough to offset potential losses from the Persian Gulf.

Metals – Iran escalation reinforces gold's safe haven appeal

Gold is pushing higher on Monday as markets reopen to the weekend's escalation between the US, Israel and Iran. Renewed tensions inject a fresh geopolitical risk premium at a time when investor positioning was already constructive. This reinforces gold's role as a preferred hedge. Near-term price action is likely to remain headline-driven, with volatility elevated.

If higher crude prices lift inflation expectations, while growth risks rise, real yields are likely to remain contained -- and supportive for gold. A firmer dollar, however, could slow the pace of gains.

A regional spillover or disruption to energy supplies would materially boost gold through higher oil prices, increased inflation expectations and contained real yields. Sustained uncertainty would keep volatility and safe-haven demand elevated. By contrast, if tensions remain contained and energy flows are unaffected, the initial risk-off move should fade as the oil risk premium unwinds.

This reinforces, rather than changes, the broader gold narrative. Central bank buying remains strong and expectations of policy easing later this year, continue to underpin the market. Even if tensions stabilise, these structural drivers suggest downside should be limited, with any pullbacks likely to be shallow rather than trend-reversing.

Author

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@ing.com

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("**ING**") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial

instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.